JAPANESE CHAMBER OF COMMERCE & INDUSTRY IN VIETNAM (JCCI)

POSITION PAPER AT ANNUAL VIETNAM BUSINESS FORUM 2017

In order to improve the investment environment, we would like to highlight two key measures and six key requirements of member businesses wishing the government of Vietnam to take efforts on implementation.

Key measures

1. Administrative Procedure Reform

We would like to present here a number of proposals related to Administrative Procedure Reform that Prime Minister Nguyen Xuan Phuc works energetically.

First of all, we – the Japanese Chamber of Commerce and Industry (JCCI) – highly appreciate the proactive efforts of the Vietnamese government, with strong leadership of Prime Minister Nguyen Xuan Phuc, to make the administrative procedure system more simple and speedy.

However, there are still many foreign enterprises including JCCI members have been faced with difficulties regarding the implementation and operation of the Vietnamese law, we will herewith give a few examples below.

- Due to lack of adequate understanding of officer, enterprises are required some procedure and documentation which are not prescribed by the ordinance.
- In case permission or acceptances from various ministries are required, due to the lack of communication among these ministries and agencies, it takes long time to complete required procedure.
- Due to the ambiguity of stipulation of ordinance, and it's not clearly interpreted, enterprises are confused to determine if they act in law in advance. Besides, enterprises are forced to wait a long time for interpretation from the ministries.

We are afraid that a public administration system with such a lack of transparency and certainty may seriously undermine Vietnam's attractiveness as a destination for investment, as investors will dodge Vietnam and turn to other countries. We hope that the Vietnamese government will undertake more powerful actions to solve those issues.

Based on above awareness, in our position paper at the Midterm Vietnam Business Forum (VBF) in June this year, JCCI put forward two proposals with the Vietnamese government as described below.

Our first proposal is "To establish a new organization across ministries which has an authorized power to strongly proceed to solve any problem caused by this uncertainty ". To be more specific, we proposed developing a regulatory framework and practical procedure through references to the grievance redress system for domestic and foreign businesses established by the Japanese government at a time in the past: 1) A Secretariat which settled inside the Government Office comprehend all issues from enterprises and the responding status by relevant ministries; 2) in case those issues are not solved by responses from the ministries, a "Counselor board" which settled in government office and consist of members including private and foreign enterprises try to develop a counterplan and propose to the Prime Minister; and 3) a "Committee" chaired by the Prime Minister and consisting of ministers as members reviews the proposed strategies for approval.

The second recommendation is "Perfecting procedures for prior confirmation relating to regulations and ordinances". This is exactly what needed to "prevent emerging issues related to law enforcement, where we want flawless procedures in place to allow private sector practitioners to obtain prior confirmation of the relevance of the transactions that they will be engaging in with the ministries in relation to applicable regulations and ordinances, so that they can get an answer form these ministries". To be more specific, as for the "Official letter" used for the same purpose with the ministries in Vietnam, we hope that the Vietnam side refers to the "No action letter"[1] mechanism that Japan uses to develop and enforce rules in a consistent manner, and for them to be applied homogeneously among several ministries. In respect of consistency of the rules, a few examples can be given here: "Duty to respond in writing", "Setting standard turnaround time", "Public release of responses after a specific period of time", "Setting case which allow government to not response exceptionally and public release the reason". We would like to get a feedback from Prime Minister Nguyen Xuan Phuc, on these proposals.

And then, we very much welcome the strong and passionate efforts of the Advisory Council for Administrative Procedure Reform (ACAPR) in recent years and months relating to administrative procedure reform, particularly the dialogues taking place between Prime Minister Nguyen Xuan Phuc, head of the Government Office Mai Tien Dung, and ACAPR members on August 16 this year.

Given the recent strong and dedicated efforts of ACAPR, we would like to propose to establish a new organization which we proposed above under the ACAPR. What this mechanism specifically entails include:

[1] *No action letter: Applicants submit an official letter in advance soliciting comments from the relevant ministries to know whether the activities they are involved in are in breach of any rules or laws. If the solicited ministries say it is not against the law, then no special actions will be needed.*

- To establish a “Professional team” which consists of private sector and foreign enterprises under ACAPR;
- Each chambers and Commerce and Industry put forward their highest priority request to the “Professional team”.
- The “Professional team" make a concrete counterplan within a few months which will be reported to the Prime Minister by ACAPR.
- The Prime Minister discusses with ministers and makes decisions, giving full respect to these counterplans.

We would like to get a feedback from the Prime Minister to this proposal.

We, JCCI have high hopes that the government of Vietnam will implement today’s proposal for strengthen openness, transparency and the promptness of administrative procedures, so that Vietnam will be more attractive destination for foreign investors.

2. Efficient use of ODA loans

As the fiscal balance in Vietnam is in a situation of chronic deficit, and government debt is nearing the upper threshold set by the National Assembly, which is 65% of GDP, the Vietnamese government in recent years has been ramping up loan control measures. This has resulted in the restricted use of ODA loans, and many ODA projects facing payment delay.

While we understand the need for government debt control, on the other hand, if long-term, low-interest ODA loans continue to be used inefficiently as they are now, we are very concerned that infrastructure – the foundation for economic development - will remain underdeveloped, which in turn may leave negative impacts on economic growth in the medium and long run. To that end, we believe that there is a need to push core structural reforms, both from the perspectives of budget revenue and spending in the national fiscal landscape, and the ability to guarantee financial sufficiency at the earliest possible to adequately accommodate the completion of necessary infrastructure.

In respect of fiscal structural reform, an IMF report released in July this year indicates:

- On the revenue side, a policy review is required to move toward to expansion and diversification based on tax categories, or to be specific: higher environmental protection taxes, imposing property taxes, having in place a uniform value added tax rate, increasing excise tax rates, levying land transaction taxes to finance infrastructure projects, revisiting tax incentives, among others; whereas equity purchases and sales by state-owned enterprises related to finances that are not long-term sources of revenue are also essential.

- On the expenditure side, there is a need to revisit budget spending cut through widening cost recovery or inviting the participation of the private sector in education and health care; review the social security coverage in a society believed to be in population ageing; promote administrative reforms (staff downsizing in the public sector), and promote higher efficiency of fiscal revenue and spending through sound selection of projects, procurement, improved operating protocols and so on.

We hope that the Vietnamese government will continue exploring the aforementioned IMF's recommendations, while improving its fiscal context through widening and diversifying taxes and levies to bolster revenue, and streamlining and improving budget spending efficiency, thus making the best out of the advantages that long-term, low-interest loans have to offer, to achieve good infrastructure development outcomes.

Proposals by JCCI member companies

1. Draft Decree pertaining to the Environmental Protection Law

Many Japanese companies now are particularly concerned about Article 100.5 of the draft Decree relating to the Environmental Protection Law that is under discussion. To be more specific, Article 100 of the "Draft Decree revising the implementing decree of the Environmental Protection Law" addresses various aspects of regulations on the discharge of untreated wastes when plant incidents occur. Paragraph 5 of this Article establishes rules on the requirements for the types of equipment to be used at facilities of substantial scales that may potentially cause adverse impacts on the environment, whereas its item (b) demands that facilities must be designed to have the capacity to store post-treatment wastewater for a minimum 72 hours, as part of the post-treatment water quality monitoring system, where facilities are required to have in place water-tight and anti-leakage functions and be able to apply biological indicators to monitor post-treatment wastewater quality. Here we have a 3-prong recommendation for the aforementioned matter.

- We understand that having in place a water storage device is a way to prevent untreated wastewater to escape the plant when incidents happen, but some companies have also paid serious costs applying measures to make sure that untreated wastewater does not make its way to the external environment through well-established methods, except that such methods differ from that referred to in the draft decree. For example, some businesses have put in use wastewater monitoring systems that automatically swing into action when incidents occur, and regularly observe the wastewater quality before discharge, and when incidents do occur, these companies will voluntarily take actions to prevent wastewater running off and causing potentially hazardous impacts on the environment, for example by having in place a

recycling mechanism for incompletely treated wastewater (sending the wastewater back to the source). Setting the rule this way is obviously unreasonable, given that even such businesses are still obliged to install water storage tanks at which are very costly. We hope this is taken into account so that unnecessary burdens can be avoided for businesses that have paid major expenses to have in place otherwise well-established methods that may differ from those mentioned in the draft decree.

- Depending on the lines of business and types of organization, the risks involved and regulations pertaining to incident-related wastewater treatment may vary. For example, even when an unusual event is detected, from such perspectives as safety and security, there are some lines of business or types of organization that cannot possibly stop the wastewater flow immediately, and conversely, there are many other sectors and types of business that can hold the wastewater flow instantly when incidents happen. Besides that, depending on the lines of business and types of organization, the amount and quality of wastewater may also vary by large proportions, especially for businesses with large volumes of wastewater produced, this regulation requires large investments and operating costs, which may hurt their profitability and tax paying ability, and may even become a hurdle for business expansion in the future. A neutral justification to make it the norm for a facility to be able to store wastewater for "a minimum 72 hours" on an across-the-board basis, regardless of the fact that the specific lines of business and types of organization that may be subject to prevailing wastewater management rules may vary by very large margins as we see here is questionable and unfortunate, and we believe that this rule lacks a sound rationale. Through verification and review of the difference between lines of business and types of organization as mentioned above, we hope you can reconsider and come up with standards that match different lines and types of business, amounts and quality of wastewater involved, rather than setting the rule in such a rigid and inclusive manner. Additionally, even for the required actions that do not belong to regulations on wastewater storage devices, please also review these rules in greater details adaptive to the specific lines of business and sizes of organization.

- Article 100.5.b has a section that reads "to able to apply biological indicators to monitor the post-treatment wastewater quality", while this very phrase remains unclear and vague. Please explain with clarity, specifics and more details what "monitoring wastewater quality using biological indicators" means. And to that end, as with paragraph 2 above, please reconsider specific rules applied to different lines of business, types and size of organization, rather than making it a 'one-size-fits-all' norm for everyone.

The Japanese business community thoroughly understands the importance of an environmental awareness from our past experiences dealing with pollution in Japan. Drawing from those experiences, whether it is doing business in Vietnam or elsewhere, we seek to take adequate actions to keep the environment safe and sound, as we take seriously the need to co-exist with

biodiversity for each company. Moving forward, we are willing and ready to take any complementary actions to help keep the environment safe where necessary. That said, rules that fail to reflect what is really going on for businesses and adopt questionable justification which should otherwise be non-perception-based will profoundly influence the sustained ability to do business in Vietnam of Japanese firms. Accordingly, when it comes to the aforementioned Article 100, we urge that you return to further discussion and consideration in this matter.

2. Draft decree pertaining to non-national workers making compulsory social insurance contributions

While the original purpose of any social insurance/security system is to avoid dodging insurance enrollment by workers and protect the worker, this draft Decree has actually very much veered off-course from that purpose, and as a consequence, forces many non-national workers to pay double premium fees, both in their home country and Vietnam. Moreover, adding the burden of paying premium for employers in a wasteful way will create a reverse effect in inviting non-national skilled workers to come into Vietnam and contribute to the nation's economic development, while undermining the international competitiveness of local businesses and attractiveness of Vietnam as a destination for investment.

Premised on the very purpose of the social insurance/security system in the first place, we urge you to again revisit this draft Decree.

Stated expectations

- To avoid making non-national workers to pay double premium fees in their home country and Vietnam, we suggest adopting an exclusion mechanism to determine who should pay statutory insurance based on the available offers extended to foreign workers who have enrolled in social insurance in their home country.

- Assigning non-national workers to compulsory social insurance plans by "whether they have an employment contract in Vietnam", or "whether they earn a salary in Vietnam" will not solve the problem of double premium payment, and our suggestion is that if a person can present "a secondment dispatch from a source entity", "written proof of already being a social insurance enrollee provided by an administrative authority of the domicile country or secondment source entity", or "an application of the subject non-national worker wishing not to become an enrollee in the insurance plan", he/she will be left outside the coverage of Social Security of Vietnam. The same goes with health insurance in Vietnam, as we hope to have in place a method of defining exceptions from coverage based on the wish or willingness of the subject non-national workers.

- We propose that social insurance responsibilities for non-national workers will take effect after a bilateral social insurance agreement is signed between the two countries. Even when a preparatory period is needed before the agreement is executed and then comes into effect, we still wish to have a sufficient preparatory span (at least more than four years).

- Despite the Ministry of Labor-Invalids-Social Affairs' views that imposing social insurance on foreign workers will have very little impact on employers, in fact compared to neighboring countries, the current burden shouldered by employers in Vietnam is really massive, and this policy will cause a seriously setback on new investments and upscale investment for foreign businesses. To ease the burden for employers, we urge that our recommendations in paragraphs 1 and 2 above are accepted, and the coverage of non-national workers subject to mandatory insurance payment is also watered down.

- Preventing non-national workers from paying double social insurance fees
  According to the explanatory note submitted to the government by the Ministry of Labor-Invalids-Social Affairs related to this draft Decree, the purpose of this policy is "to safeguard the interests of non-national workers and equity between Vietnamese and foreign workers". Nevertheless, when a foreign worker has had social insurance in their home country, such so-called 'interests' have been protected, and imposing any obligation for them to be a part of another insurance plan will result in double payment of insurance fees – both in their home country and Vietnam, and as a consequence, it will be a disadvantage for non-national workers. The Ministry of Labor-Invalids-Social Affairs explained: "We have had in place a one-time pension and death-related benefits payment system with a high rate of compensation compared with the premium, and this is an attractive plan for workers", but if the premium fees payable by the employers are included in the picture, the compensation rate will actually be low, hence the aforementioned explanation is not a reasonable one.

  Sticking to the defined purpose of safeguarding the interests of non-national workers, if someone who has been paying social insurance in their home country makes clear their intent, there should be an exception mechanism in place to determine who should have social insurance coverage in Vietnam.

- Social insurance selection criteria applicable to non-national workers
  In this draft Decree, the selection criteria proposed include "having a labor contract in Vietnam", whereas non-national workers having an effective labor contract in Vietnam also include individuals who "are transferred internally within a business (through secondment)" - also the key group affected by double social insurance fee payment. The reason is that while these individuals may be "internal transferees within a business (through secondment)", many of them need to have an employment contract with a company/organization in Vietnam where they are transferred to, as instructed by a relevant authority and for taxation reasons.

We understand that trying to select insurance enrollers based on whether the workers have a valid work contract is meant to create a balance with Vietnamese workers and clearly identify the basis for determining premium, however, double payment of social insurance fees by the workers should be avoided.

To be more specific, technically, considering whether a person has an existing labor contract as a selection criterion, but also having in place a method of exclusion by requiring presentation of the "Secondment agreement with the dispatching entity", "Documentary evidence for having been a part of the social insurance plan released by a competent home country administrative agency or dispatching entity", and a "Letter of intent of the person in question stating that they wish not to be a part of the current insurance scheme" will be a reasonable choice, from the perspectives of safeguarding the interests of the workers and staying in touch with the current context.

Even the Health Insurance Law (No. 46/2014/QH13) has the same problem, because even when seconded personnel who are "moved internally" are already under health coverage in their home countries, there will still be circumstances where they are held responsible to become a health insurance enrollee as judged by a Vietnamese regulatory authority or administrative officer. We hope to have an exception mechanism in the selection of insurance enrollees premised on the wish or intent of the workers themselves as discussed above, and to be notified in writing that such a mechanism exists.

- Social insurance agreement

Article 23 of the draft decree proposes a long-end plan (pension and death-related benefits), effective from January 2020 as the option of choice, with a preparatory period before a bilateral nation-to-nation social security agreement is signed being about 02 years. Yet, after such an agreement is signed, eligible benefits for foreign workers should be made explicit based on the terms and conditions of the agreement, and premium collection should start from there. We must regretfully object to collecting premium fees without an effective agreement. If it is unfortunate enough that we must have a preparatory period and start collecting the fees, it will normally take 4-5 years before an agreement is signed, and as such, it should take at least more than 04 years.

- The burden placed on employers related to social insurance

Findings from a VBF's HRWG survey enclosed in the attachment indicate that the burden placed on employers associated with social insurance in Vietnam is much heavier than its neighboring countries – 1.9 more than in Indonesia, 8.5 times more than in the Philippines,

and 8.8 times larger than in Thailand (assuming a wage level of USD 2,500). Any further increase of the burden on employers will potentially impair industry's international competitiveness and dissuade expansion and new investments by foreign businesses. Moreover, it will become a major roadblock when it comes to sending a non-national worker to Vietnam, while they can contribute to the country's industrial development.

We urge that you integrate our aforementioned recommendations 1 through 4 in the draft decree, and work toward a plan where employers do not have to bear unnecessary insurance costs.

3. How the disaster preparedness and response fund work

Based on Article 10, Disaster Prevention and Control Law (Law No. 33/2013/QH13) and Decree 94 (Decree No. 94/2014/ND-CP), municipalities that have such a fund in place and regions where contributions are collected from companies and employees are increasing in numbers. However, given the practical challenges and uncertainty of the existing law, activities on the ground are in trouble. We hope the law and implementing arrangements are more clearly articulated in relation to the following provisions.

- Paying employees' contributions

According to Decree 94, businesses will make this payment after they finish collecting the contributions from their employees, but given the practical challenges from the following reasons, we hope this method of businesses making the payment is repealed and replaced.

  - Since the law does not establish that businesses can withhold their employees' contributions from the salary, and the employees should pay amounts proportionate to their respective shares, some of the employees have refused to pay.
  - Among the employees who do receive a notice that they must pay this sum from the administrative department, some are already in retirement and obviously, they cannot be collected from. Interestingly, even when the administrative department makes retrospective claims from those who retired for the contributions dated back to previous years, they could not collect the money.
  - Some of the employees claim that they have made the contributions where they live, but the company has no way to verify where that is true.

- How the fund is run

For the points listed below, we want the activities demystified and justified through a formal regulatory document such as a circular.

- While who and what may be entitled to a reduction or deferment of the business contributions have been established, there is still not a consistent definition of what a "reduction" or "deferment" means.
- How the contributions are pooled to the fund is also problematic, for example, sometimes cash payments are required instead of a bank transfer.
- Under Article 5, Decree 94, the contributions from non-national employees may be optional and voluntary, but they turn out to be obligatory in some places.
- When a business or individual come looking for assistance from the fund, nobody seems to know exactly what specific set of procedures to follow.

4. Circular 23 pertaining to used machinery and equipment importation

Under the government's Resolution No. 19-2017/NQ-CP, Feb. 6, 2017, a draft amendment of Circular No. 23/2015/TT-BKHCN (Circular 23) was released, but we feel regretful that the proposed legislation is not exactly what we expect, given what we have recommended in June. While comments on the draft amendment have been forwarded by JCCI to the Ministry of Science and Technology, we would like to enclose here what we suggest and expect to achieve, including for the current Circular 23.

- Exceptions to the equipment age restrictions

When a Japanese company moves its production facilities overseas, taking along machineries and equipment that may be secondhand but familiar for use where they are heading for is a very common case. Bringing in new equipment does not just require installation but also necessary tools to be made, calibrations needed and programming changes, which may make putting the equipment in use without delay a challenge.

At JCCI, we understand that the purpose of this rule is to put a restraint on the importation of used and poor-quality machineries and equipment, but there is a fact that some machineries and equipment that may be more than a decade old and still functioning well and to the full of their capacity, many of them even irreplaceable parts of a production chain. We believe that even with the same equipment or machineries, depending on where and how frequent they are used, the life expectancy of the equipment will vary, thus putting a leash on the importation of equipment based just on how old they are may be impractical.

Besides that, we believe that on the path of promoting supporting industries that Vietnam is pursuing, technology transfer from small and medium sized enterprises that are providing the manufacturing technology support from Japan is much needed, and blocking the inflow of used machineries and equipment to the country may become a major barrier to the investment flow of

Japanese small and medium sized businesses into Vietnam.

For these reasons, it is JCCI's hope that "manufacturers importing plant and equipment for their own manufacturing operations will not face equipment age limitations", which is what we have been expecting for so long, including them not being subject to other importation restrictions.

- Making explicit the procedures and documentation required for the importation of used machineries and equipment

We understand that in the current Circular 23, when it comes to bringing in machineries and equipment that are over 10 years old, apart from Article 13 (special cases), Article 6.2 also applies in part. However, other than the lack of clarity in terms of applicability relationship between the two clauses, what standards relevant authorities use in their assessments and decisions on whether an import is approved also remains unclear, as sometimes an application to import used machineries and equipment is turned down without anyone knowing exactly why. We find that such a situation may lead to downsize of news investments and expansion in Vietnam.

So far, under the name of JCCI, while we have presented to the Ministry of Science and Technology an outline of useful reference materials, the forms that came out never reflect the best practices therein. Again, we hope that along with the procedures and templates related to the importation of over-ten-year-old machineries and equipment being made more explicit, at the same time, a clearly defined set of applicable standards can be provided, for example, to establish clearly through a legislation that anyone lodging their applications using the prescribed forms will be accepted by a relevant authority to proceed with the importation.

5. Business case for four-wheeled vehicles

Regarding automobile business, JCCI would like to have 4 following proposals to Prime Minister for your kind consideration related to Decree 116, Euro 4 emission implementation, Ownership tax and tax change for pick-up.

- Decree 116 regarding manufacturing, assembly, import, warranty and maintenance service for automobile. JCCI has a strong concern about Decree No. 116/2017/ND-CP, JCCI would like to request and propose our thinking below 3 points.

– Requirement for submitting Vehicle Type Approval for overseas.

  According to Article 6. 2. a) said importer should provide a copy of certificate of eligible imported automobile class issued by foreign competent authority. (Vehicle Type Approval,

VTA).

Actually, each country's Government tests and certifies following local regulations for domestic-usage based on each countries regulation, export vehicles are out of scope.

And There are National Type Approval (NTA) certification scheme in Vietnam handled by Vietnam Register(VR), JCCI does not think it's necessary to set VTA as requirement. In addition to that, Vietnam local production model requires to get certification of NTA, JCCI thinks it's more appropriate to utilize NTA scheme for CBU. JCCI would like to request government to accept using NTA.

– Emission, safety test requirement for CBU models by shipment

According to Article 6. 2. a), said when importing new vehicles, the model of each automobile class in each shipment shall have emission and technical safety quality inspected or tested.

For example, it takes up to 2 months and money up to 10,000 USD to do emission test for one time. If importer need to do this by shipment, it will cause huge waste of time and money.

JCCI would like ask government to apply emission and safety inspection or test for 1st shipment only, and accept test report for next shipment as same as current practice.

– Test course requirement for manufacturer in Vietnam

According to Appendix I. VI. 1, said that manufacturer in Vietnam must have or rent test road requirement, which shall be at least 800m long to test the quality of manufactured/assembled automobiles.

However, at the moment none of manufacturer in JCCI have such test road in place, and it's difficult for them to find new land for test course. Rental a test road is also not feasible either due to high expenses for rental cost and logistic from factory to test road. This is not only for Japanese automobile manufacturer but also other VAMA manufacturer who faces same difficulties.

JCCI would like to request government not to apply retroactively this requirement for existing automakers.

- EURO4

Regarding EURO4, JCCI members concern about the network coverage of Euro4 Diesel fuel supply in the market from Jan 1st, 2018.

If Euro4 Diesel supply network does not cover widely to provinces/cities and districts in long distance areas then Euro4 Diesel vehicles could not operate. If Euro4 Diesel vehicles use Euro2 Diesel fuel, its engine will be broken in very short time and it is a big loss for users and for society in general. Moreover, the emission to the environment does not reach the expectation and will cause the pollution.

Due to these reasons, JCCI would like to ask MOIT to make it clear for all of our concerning points on the supply network of Diesel fuel supply from Jan 1st, 2018 as the followings:

a. Which provinces and cities in Vietnam will have the supply points of EURO4 Diesel fuel from Jan. 1st, 2018?
b. What is the longest distance between 2 supply points which can provide EURO 4 Diesel fuel?

- Ownership tax

Recently, JCCI have learnt some complaints from automakers and their customers regarding new ownership tax policy mentioned in Decree No. 140/2016/ND-CP. According to the decree, MOF will not update the taxable price list, unless car price changes at 20% or more. We are afraid that 20% of car price fluctuation is very big, so it rarely happens in the market so that the taxable price list will be kept stable for a longtime. However, in reality automakers usually change their products line-up and products specification and products price in line with competition in the market.

Therefore, the gap between the taxable price list and actual selling price in the market becomes bigger and bigger that leads more serious complaints from customers as they may have to pay higher ownership tax.

Therefore, we would like to propose Government to revise Decree 140 in order to let MOF to update the taxable price list in time manner based on price notices from automakers.

6. Business case for two-wheeled vehicles

Regarding motorcycle sector, JCCI expresses aspirations to the Prime Minister according 2 following contents (Regulation on using motorcycles in urban area & Driving license for EB)

- Regulation on using motorcycles in urban area

In July 2017, Hanoi People's Committee and Da Nang People's Committee approved the Resolution on "Regulation on using motorcycle in urban area" and "stop registration of new motorcycle". JCCI would like to present ideas about these Resolutions as follows:

– Towards to the better transportation system

  Due to the convenience (suitable with Vietnam infrastructure) and high economic efficiency, motorcycles are still the main transportation for people in urban area.

  JCCI oriented to implement the same goal with Government "Improving quality of life by providing the best service for people's mobility".

  We look forward to contribute to the society via addressing social issues facing such as traffic congestion, air pollution, safety driving and establishment of safe – advanced- suitable transportation network in Vietnam. In order to achieve this wish, we do hope to have an opportunity to discuss with Government in drafting process.

- Regarding to Electric Vehicle(2-wheels) driving licensing

Recently, using EV has been very popular among young people who are under 18 and not be allowed to use motorcycles of over 51cc. However, people who have not been educated about traffic rules and safety driving skill, still drive on the roads. As the result of it, there are many potential accidents or accidents involving young people happened.

Based on this situation, we would like to present the aspirations as follows:

It is compulsory for users to have driving license to show that they are finished training course of traffic rules and safety driving.

It is recommended that the Government regulates on issuing driving license for EV which is the same engine performance over 51cc and equal to function as engine motorcycle, and set the minimum age of being issued driving license for people who are trained about traffic rules and safety driving skill.